

Chapter 7

Banking System, Financial Instruments and Interest Rate



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Learning Objectives



- To provide an understanding on the ways central bank and commercial banks functions.
- To introduce and provide an understanding on various financial instruments (i.e., bank accounts, short-term and long-term credit) necessary for operating a business
- To introduce and provide an understanding on various types of interest rate available for business



The Central Bank vs Commercial Bank



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

The Central Bank

Function of Central Bank

- (1) Monitor the banking system
- (2) Regulate the quantity of money supply in the economy
(Interest Rate)
- (3) Provide loans to the commercial banks
- (4) Act as a control authority over commercial banks on behalf of government
 - Federal Reserve (Fed) in the U.S.
 - Bank of England (BOE)
 - Bank of Japan (BOJ)
 - Bank of Thailand (BOT)



Note: **Central Bank** is **not the same** as **Commercial Bank**
(Examples of Commercial bank in Thailand are K-Bank, Krungsri, SCB, UOB)



ธนาคารแห่งประเทศไทย
Bank of Thailand



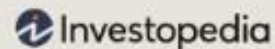
<https://www.bangkokbiznews.com/news/detail/814710>
<http://bot.or.th>

Commercial Bank

Commercial Bank

['kə-mər-shəl 'bānk]

A financial institution that accepts deposits, offers checking account services, makes various loans, and offers basic financial products like certificates of deposit (CDs) and savings accounts to individuals and small businesses.



Functions of Commercial Bank

1. Provide financial services to the general public
2. Receive Deposits
3. Provide loans to businesses and households

teachoo

Functions of Commercial Banks

Accepting Deposits



Example

- Saving Account
- Current Account
- Fixed Deposit



On this
Bank Pays
Interest Expense

Advancing Loans



Example

- Housing loan
- Car Loan
- Overdraft



On this
Bank Receives
Interest Income

Agency Function



Example

- Purchase Sale of Foreign Currency
- Collection of Tax
- Purchase Sale of Shares



On this
Bank Receives
Commission Income

Source: <https://www.investopedia.com/terms/c/commercialbank.asp>

Source: <https://www.teachoo.com/17184/3869/Different-Functions-of-Commercial-Bank/category/Chapter-3-Part-2---Banking/>



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Commercial Banks' Services for Conducting Business



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Commercial Banks' Services

1. Banking Accounts

- 1.1. Savings Account
- 1.2. Time Deposit (or Fixed Deposit)
- 1.3. Current Account or Checking Account
- 1.4. Certificate of Deposit

2. Other Financial Instruments for Saving and Investment

- 2.1. Mutual Fund
- 2.2. Bond
 - 2.2.1. T-Bond
 - 2.2.2. Corporate Bond
- 2.3. Stock
- 2.4. Insurance

3. Short-term Loans

- 3.1. Line-of-Credit
- 3.2. Overdraft loan
- 3.3. Invoice Financing
- 3.4. Factoring

4. Long-term Loans

5. Other bank services

- 5.1 Bank Guarantee or Letter of Guarantee



1. Bank Accounts



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

1. Banking Accounts

- Money deposited at commercial banks is considered **safe** (low financial risk).
- Deposits at bank are secured by **DPA (Deposit Protection Agency)**.
- Protected deposit products are deposit accounts that are opened at member financial institutions under the Deposit Protection Agency Act.
- Deposits must be denominated in **Thai baht** and must be opened within the country.
- Protected deposits included
 - Savings deposit accounts
 - Fixed deposit accounts
 - Current deposit accounts
 - Certificates of deposit



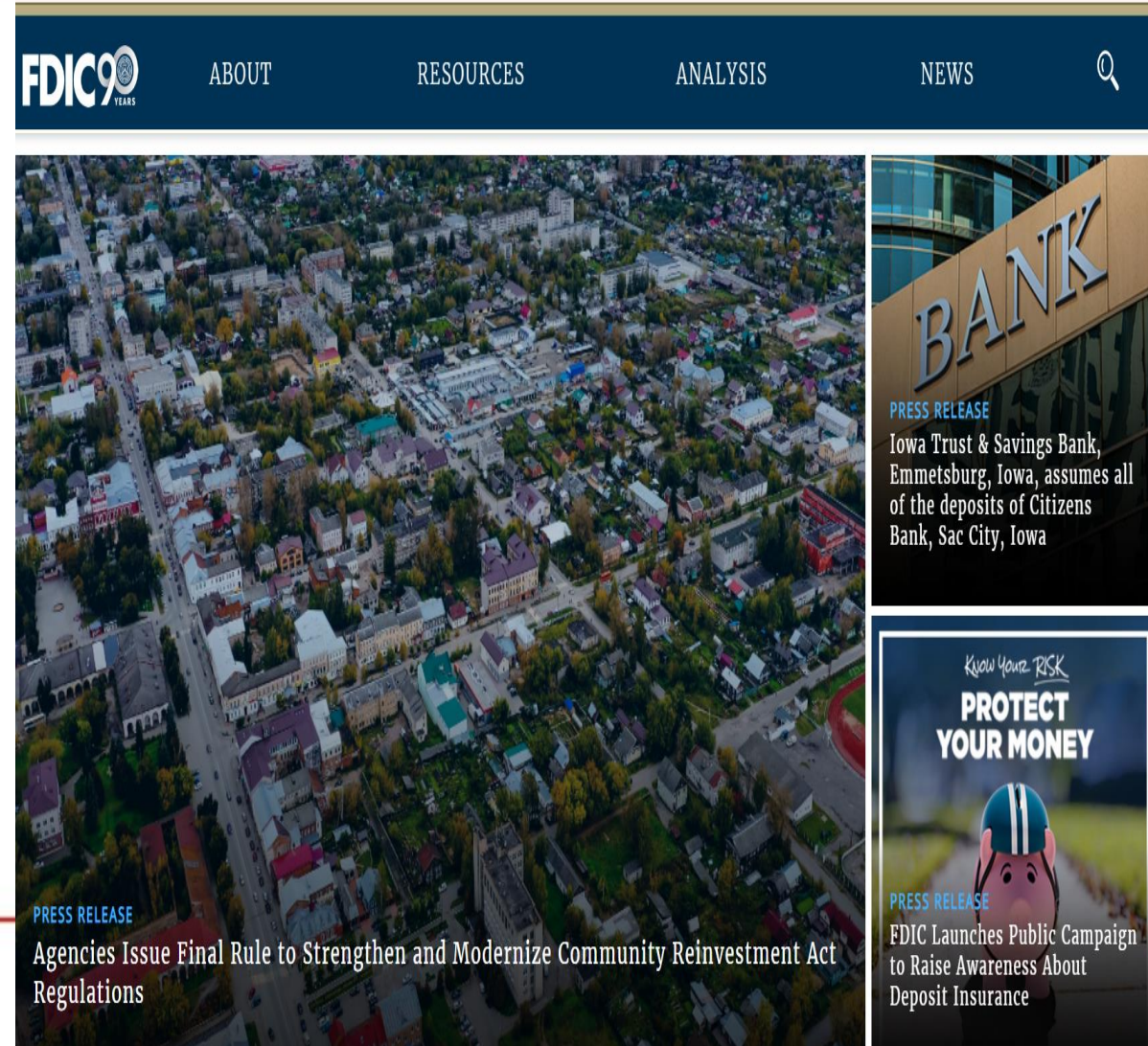
The current coverage limit is **1 million** baht per depositor per institution basis



Deposit Protection Agency



<https://www.dpa.or.th/en/site/index>
<https://www.fdic.gov/>



EX: Financial Institutions under DPA Thailand

รายชื่อ 35 สถาบันการเงิน ภายใต้การคุ้มครอง

ธนาคารพาณิชย์ (19 แห่ง)

บริษัทเงินทุน (2 แห่ง)

ธนาคารพาณิชย์ต่างประเทศ (11 แห่ง)

บริษัทเครดิตฟองซิเอร์ (3 แห่ง)

ข้อมูล ณ มีนาคม 2564

สถาบันคุ้มครองเงินฝาก
DEPOSIT PROTECTION AGENCY

1158



สรุป

ลดคุ้มครองเงินฝาก

เหลือแค่ 1 ล้าน




คืออะไร จะกระทบเรามั้ย ?



“เงินฝากของเรา” จะได้รับความคุ้มครองจากสถาบันคุ้มครองเงินฝาก
 ถ้าหากสถาบันการเงินล้ม(ถูกเพิกถอนใบอนุญาต) สถาบันคุ้มครองเงินฝาก
 ก็จะทำการจ่ายเงินคืนให้เรา ตามวงเงินที่คุ้มครอง

ประเภทบัญชีเงินฝากที่ได้รับความคุ้มครอง

1



เงินฝาก
กระแสรายวัน

2



เงินฝาก
ออมทรัพย์

3



เงินฝาก
ประจำ

4



บัตรเงินฝาก

5



ใบรับฝากเงิน

โดยจะคุ้มครอง **1 คน ต่อ 1 สถาบันการเงิน**

1.1. Saving Deposit Account

1.1. Savings Deposit

- Money is available on demand.
- Passbook is given, but no checks.
- Interest is earned.
- **High Liquidity**
- **Low Risk**
- **Low interest rate return**



1.2. Time Deposit (or Fixed Deposit) Account

1.2. Time Deposit (or Fixed deposit)

- Deposit account with **fixed maturity** and interest.
- Usually **prevent** the premature withdrawal of the deposit.
- **Lower liquidity** than savings account.
- Pay slightly **higher interest rate** than a savings account
- The longer time to maturity, the higher interest payment



1.3. Current Account Deposits

1.3. Current Account Deposits or Checking Accounts

- Deposit and withdrawal can be done any time by writing a check.
- At each withdrawal of \$, the account holder of the check must sign the name.
- No passbook, but have a check book
- Receive monthly bank statement
- **No** interest payment

JANET C. MORRISON
1234 N. MAIN STREET
CITY, STATE 45678

DATE _____

PAY TO THE ORDER OF _____ \$ _____

CHASE
JPMorgan Chase Bank, N.A.
1111 Polaris Parkway
Columbus, OH 43260

MEMO _____

123456789 987654321 1234

The routing/transit number
contains nine digits and is surrounded by 12

The checking account number
The check number
In some cases the order of the checking account number and the check number is reversed.

1.4. Certificate of Deposit

1.4 Certificate of Deposit (CD)

- Financial security that **banks issue to depositors**.
- Depositors receive a stated **interest rate** for a fixed period of time.
- CD provides interest rate premium in exchange for depositor's agreement to leave a lump sum deposit **untouched** for a predetermined period of time.
- Receive **certificate** for saving instead of a passbook



Note: CD differs from deposit in that (1) CD can be sold to other investors
(2) Minimum deposit is 500,000 baht
(3) CD paid higher interest rate than saving deposit



1.4. Certificate of Deposit



สถาบันคุ้มครองเงินฝาก DPA ✓

3 July 2019 at 09:00 - 🌐

บัตรเงินฝากเป็นหลักฐานในการรับฝากเงิน
เหมือนกับเงินฝากประจำที่มีสมุดบัญชีเงินฝากประจำ
เป็นหลักฐานในการรับฝากเงิน
ซึ่งถือเป็นอีกทางเลือกในการออมเงิน
ให้กับประชาชนอีกทางหนึ่ง
และไม่ต้องกังวลแม้ว่าคุณจะไม่มีสมุดบัญชี
บัตรรับเงินฝากยังได้รับความคุ้มครอง
จากสถาบันคุ้มครองเงินฝากเหมือนกันนะครับ
#DPA

#สถาบันคุ้มครองเงินฝาก

#น้องปกป้อง



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

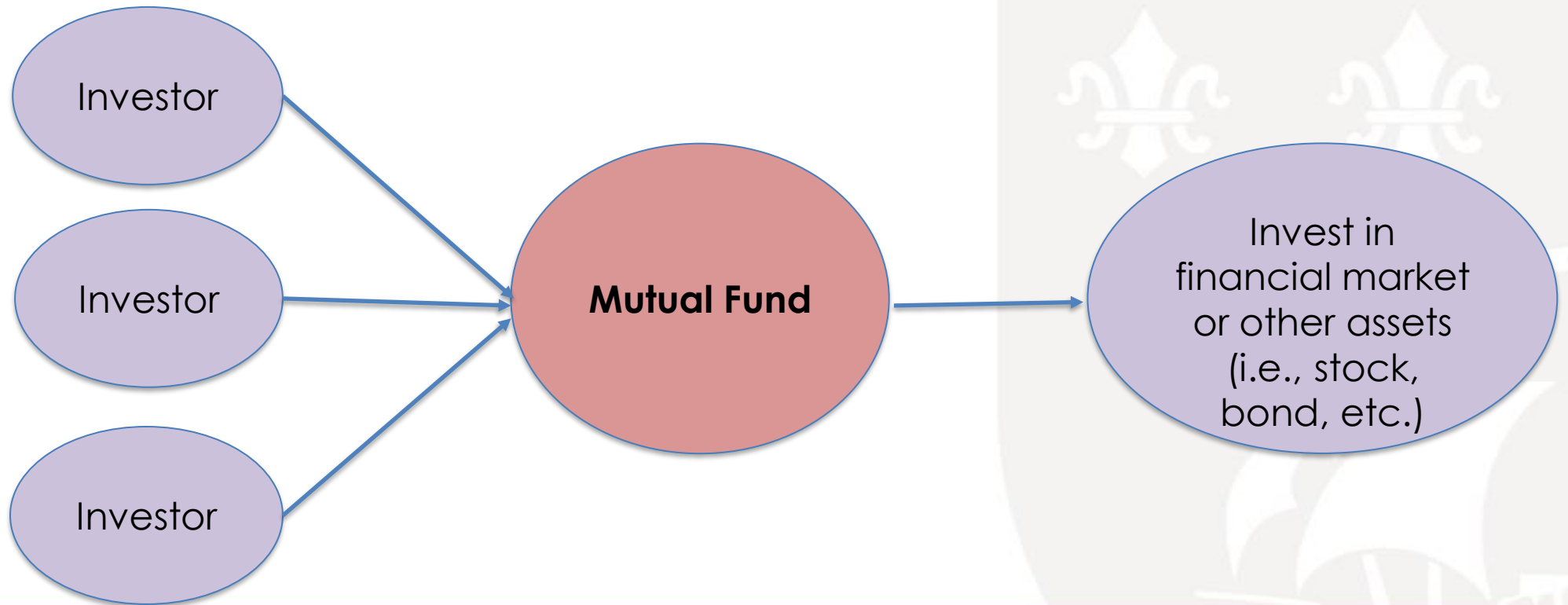
2. Other Financial Instruments for Saving and Investments



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

2.1. Mutual Fund

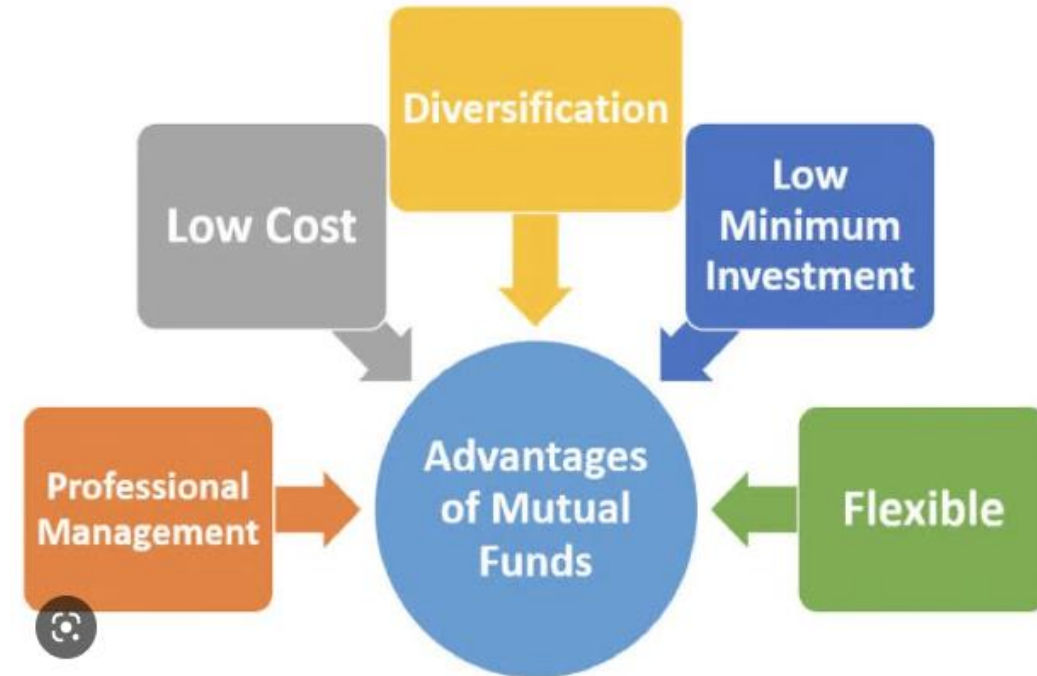
- **Mutual Fund Company** combines a small amount of savings from investors and invests in several assets



2.1. Mutual Fund

Advantages of Mutual Fund

1. Investors can invest with a **small** amount of money.
2. Investors can invest in a **diversified** portfolio.
3. **Professional investment** by a fund manager
4. **Tax** benefit
5. Low risk
6. High liquidity



2.1. Mutual Fund

- To select mutual fund, investors must have their investment **objectives**.
- Long-term saving for **retirement** and **tax deduction** – retirement mutual fund (**RMF**)
- **Safety** – **money market** mutual fund (invest in short-term securities)
 - **fixed income** mutual fund (invest in the **bond** market)
- **High return** (high risk) – **Equity** mutual fund (invest in the stock market).

Based on your investment objective, goal and risk appetite, a financial expert may recommend an asset class first and then suggest schemes that fit your financial plan.



2.1. Mutual Fund



กองทุนรวม (Mutual Fund) คือ การรวบรวมเงินของนักลงทุน นำมาลงทุนตามนโยบายที่กองทุนรวมนั้นๆ กำหนดไว้ โดยมี “ผู้จัดการกองทุน” ที่เป็นมืออาชีพช่วยบริหารจัดการการเงินของกองทุน กองทุนรวมมีจุดเด่นตรงที่มีเงินน้อยก็ลงทุนได้ แถมยังมีนโยบายการลงทุนที่หลากหลาย ทั้งกองที่ลงทุนในตราสารหนี้ หุ้นในประเทศ หุ้นต่างประเทศ รวมไปถึงอสังหาริมทรัพย์ ทองคำ และสินทรัพย์อื่นๆ

ดังนั้น แต่ละกองจึงมีผลตอบแทนและความเสี่ยงที่แตกต่างกันตามประเภทสินทรัพย์ที่กองทุนไปลงทุน นักลงทุนสามารถเลือกกองทุนให้เหมาะกับวัตถุประสงค์การลงทุนและระดับความเสี่ยงที่ยอมรับได้ ซึ่งจะมีการทำแบบทดสอบวัดระดับความเสี่ยงเมื่อเปิดบัญชีเริ่มซื้อขายกองทุน

2.2. Bond

- Q: **What is bond?**
- A: A financial instrument that firm or government issued to borrow money from investors.
- Q: **Who can buy bond?**
- A: **Large institutions** (Ex. Insurance companies, pension funds, or business firms) or general **public** or **individual investors**
- Q: **What are the investors' return?**
- A: Investors receive **interest** periodically (usually semiannually)
- Investors receive a **principal** (PAR) at maturity
- **Ex. A 5-year bond paid a 4% coupon rate selling at par of 1,000**
 - - An investor will receive **\$40 every year** for 5 years.
 - - At **maturity** (end of year 5), the investor receives **\$1,000** back.



2.2.1. T-bond

Q: What is T-bond?

A: T come from **Treasury** (Ministry of Finance)

- T-bond is the bond issued by the **government**.
- A financial instrument that **government** issues to **borrow** money from investors.
- **No default risk** (high degree of safety)
- **High liquidity**

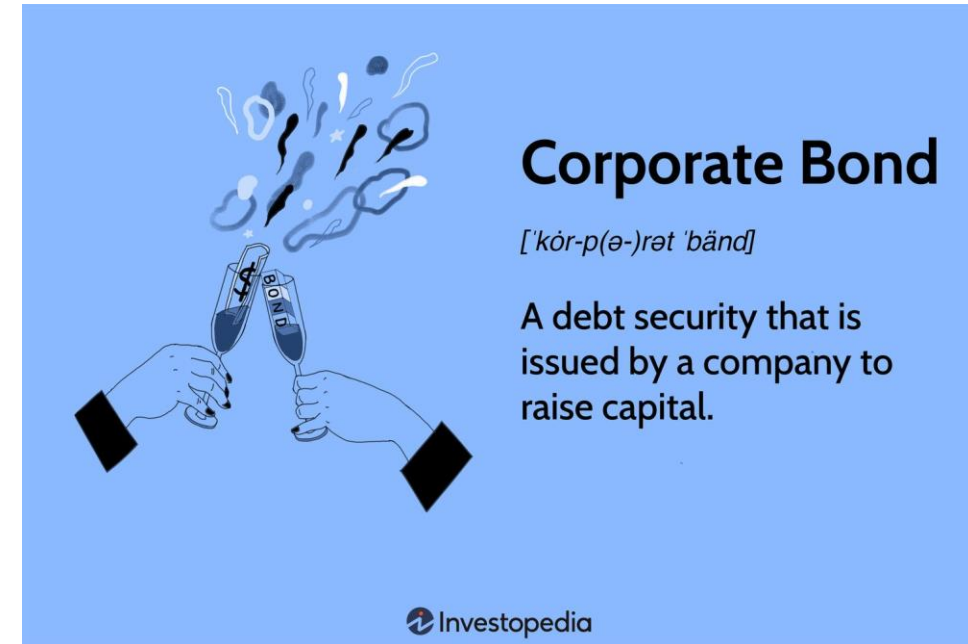


2.2.3. Corporate bond

Q: What is Corporate Bond?

A: Corporate bond is the bond issued by the **corporation**

- A financial instrument that **a corporation** issues to **borrow** money from investors.
- **Higher Risk** than government bond
- Risk can be evaluated from the bond rating



Bond Ratings

- Bond rating makes it much easier to sell bonds to the public.
- The rating acts as a signal of **the qualities** of the issuer.

Rating Agencies:

- Standard & Poor's (S&P), Moody's, or Fitch.
- Thai Rating and Information Services Co., Ltd. (TRIS)
- Fitch Rating Thai Co., Ltd. (FITCH)

Bond Rating:

- **Investment Grade Bond**
 - High quality to medium grade quality
- **Junk Bond (High Yield Bond)**
 - More risk and Higher expected returns

Moody's	S&P	Fitch			
Aaa	AAA	AAA	Prime		
Aa1	AA+	AA+	High grade		
Aa2	AA	AA			
Aa3	AA-	AA-			
A1	A+	A+	Upper medium grade		
A2	A	A			
A3	A-	A-			
Baa1	BBB+	BBB+	Lower medium grade		
Baa2	BBB	BBB			
Baa3	BBB-	BBB-			
Ba1	BB+	BB+	Non-investment grade speculative	"Junk" 	
Ba2	BB	BB			
Ba3	BB-	BB-			
B1	B+	B+	Highly speculative		
B2	B	B			
B3	B-	B-			
Caa1	CCC+	CCC	Substantial risk		
Caa2	CCC		Extremely speculative		
Caa3	CCC-		Default imminent with little prospect for recovery		
Ca	CC	CC			
	C	C			
C	D	D	In default		
/					
/					

Examples of Bond Rating Categories

Moody's	S&P	Fitch	
Aaa	AAA	AAA	Best quality, least credit risk
Aa1	AA+	AA+	High quality, slightly more risk than a top-rated bond
Aa2	AA	AA	
Aa3	AA-	AA-	
A1	A+	A+	Upper-medium grade, possible future credit quality difficulties
A2	A	A	
A3	A-	A-	
Baa1	BBB+	BBB+	Medium-quality bonds
Baa2	BBB	BBB	
Baa3	BBB-		
Ba1	BB+	BB+	Speculative issues , greater credit risk
Ba2	BB	BB	
Ba3	BB-	BB-	
B1	B+	B+	Very speculative, likelihood of future default
B2	B	B	
B3	B-	B-	
Caa	CCC	CCC	Highly speculative, in default or high likelihood of going into default
Ca	CC	CC	
C	C	C	
	D	DDD	
		DD	
		D	

Investment Grade

Junk Bond, High Yield Bond



2.3. Equity or Stock

Equity or Common Stocks

- Equity represents ownership of shares in a corporation.

Characteristics:

- Rights and privileges of common shareholders
 - **Can vote** to select the firm's board of directors (BOD).
 - BOD, in turn, exercises general control over the firm.
 - C/S shareholders (S/H) may **vote on major issues** facing the firm, such as corporate charter changes and mergers.
 - Shareholders **receive dividend** and **capital gain** as return on their investment
 - **Higher risk** compared to bond



Symbol	Price	Change	Volume	High	Low	Open	Close
MSFT	73.31	-0.12	4.3M	73.45	73.20	73.30	73.31
GOOGL	72.18	0.25	3.8M	72.30	72.10	72.15	72.18
AMZN	71.86	0.28	5.6M	72.00	71.80	71.85	71.86
FB	68.74	0.49	3.8M	69.00	68.70	68.75	68.74
APPL	66.87	-0.82	13.8M	67.00	66.80	66.85	66.87
INTC	65.27	-0.03	5.5M	65.30	65.25	65.28	65.27
IBM	62.15	0.02	1.8M	62.18	62.12	62.16	62.15
ORCL	60.26	-0.35	1.9M	60.30	60.20	60.25	60.26
CRM	59.77	0.15	1.9M	59.85	59.70	59.75	59.77
ADBE	59.62	0.02	7.5M	59.69	59.60	59.65	59.62
SNOW	58.59	-0.14	11.7M	58.60	58.50	58.55	58.59
NET	55.88	0.00	8.6M	55.90	55.85	55.88	55.88
DDOG	55.16	0.00	7.0M	55.20	55.15	55.18	55.16



2.4. Insurance

Insurance

[in-'shur-ən(t)s]

A contract in which an individual or entity pays an insurance company in exchange for financial protection or reimbursement of losses resulting from a covered event.



 Investopedia

- **Insurance Policy** – Contract between individual and insurance company. It is used to **reduce risk** of financial losses that may result from damage to the insured or their property, or from liability for damage or injury caused to a third party.
- **Individuals** pay **insurance premium** and Receive protection in return.
- **Insurance premium** is the amount of money an individual pays for an insurance policy.
- **Insurance company** receives premium, pools client's risk, uses the proceed to invest, then makes payment to individuals (or policy holders).

2.4. Insurance (Saving plan)

- A savings plan is an insurance plan that provides an opportunity of **saving and accumulating funds for the future**.
- Additionally, they offer a **life cover** for the policyholder, thus securing the future of the family financially.

Benefit of Insurance

1. Provide insurance coverage
2. Guarantee a stable income
3. Build a financial discipline
4. Reduce tax payment (Tax deduction)



3. Short-term Credit



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

3. Short-term Loan

- Type of credit that must be returned (both principal amount and interest) **within a year**
- Usually obtained to support temporary personal or business capital needs.
- Used to finance day to day operation in a company.

3.1. Line of Credit

3.2. Overdraft Loan

3.3. Invoice Financing

3.4. Factoring



<https://corporatefinanceinstitute.com/resources/accounting/short-term-loan/>

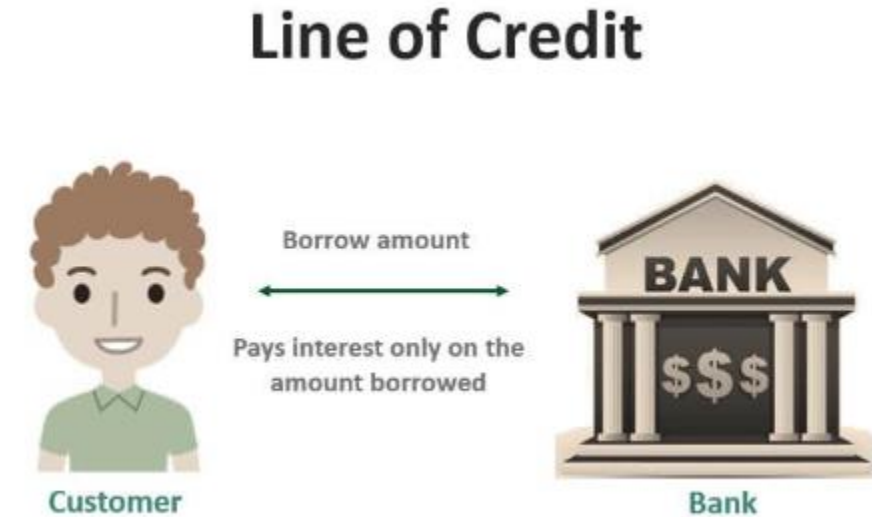
<https://www.wallstreetmojo.com/short-term-loans/>



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

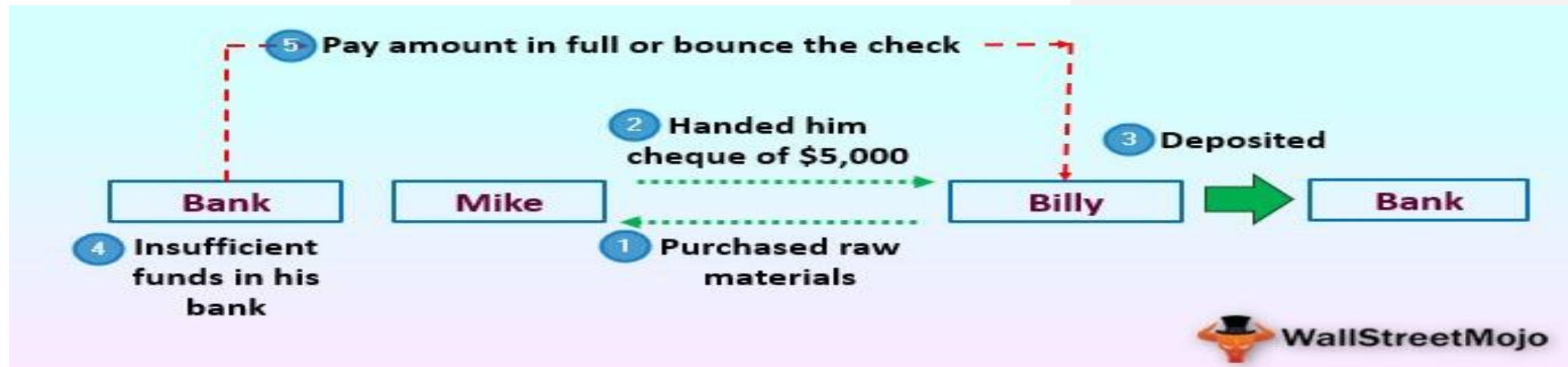
3.1. Line of Credit

- Loan from banks and financial institutions that set a **maximum loan amount (credit limit)** that an individual is allowed to borrow
- Borrowers **cannot** withdraw **beyond** the permitted limit
- The borrower has the flexibility to withdraw the loan amount in a lump sum or installments
- Bank charges only on the withdrawn amount, not the remaining available balance of the loan



3.2. Overdraft Loan (OD)

- Usually apply with a **current account** or a checking account
- An overdraft occurs when money deposited in current account is **not enough** to cover a transaction or withdrawal
- Bank **allows business to withdraw** by writing checks **more than** the amount deposited in a current account. Business must repay principal and interest



3.2. Overdraft Loan

- Interest owed calculates from **the number of days** of borrowing until the balance is paid. (not maximum credit limit)
- Interest is calculated based on the number of borrowing days.
- Ex. Mr. A borrows **50,000** baht on an overdraft loan for **30 days** and an interest is **10%** . Interest that Mr. A must pay

$$= 50,000 \times 30 \times (0.1/365)$$

$$= 410.96 \text{ baht.}$$

$$I = OD \times P \times r \div D$$

Where,

I = Overdraft Interest

OD = Amount Overdrawn

P= Periods or Days Until Repayment

r = Annual Interest Rate

D = 365 (days in year, 366 in case of leap year)

3.3. Invoice Financing

- Allow business owner to receive money **upfront** without having to wait until **account receivable** is collected.
- Business owner can **borrow from banks using client invoices** as **collateral**.
- Once the invoice is presented to bank, bank will then pay a portion (usually 90%) of your unpaid invoice **upfront**.
- Once your customers pay the invoice, the business firm **repays the amount borrow plus fee and interest to the bank** within a deadline.
- (Note: **Firm** must be responsible for collecting money from client)



Business provides a product or service and invoices for it.



Business sends invoice to financing company, the two parties work out terms.



The financing company sends the business cash representing a percentage of the invoice value. It could be the full amount of the invoice but it is usually somewhat lower.



The customer pays the invoice. This allows the business to repay the financial company for the short-term loan it provided, along with any agreed upon fees.

Invoice financing is a four-step process.



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

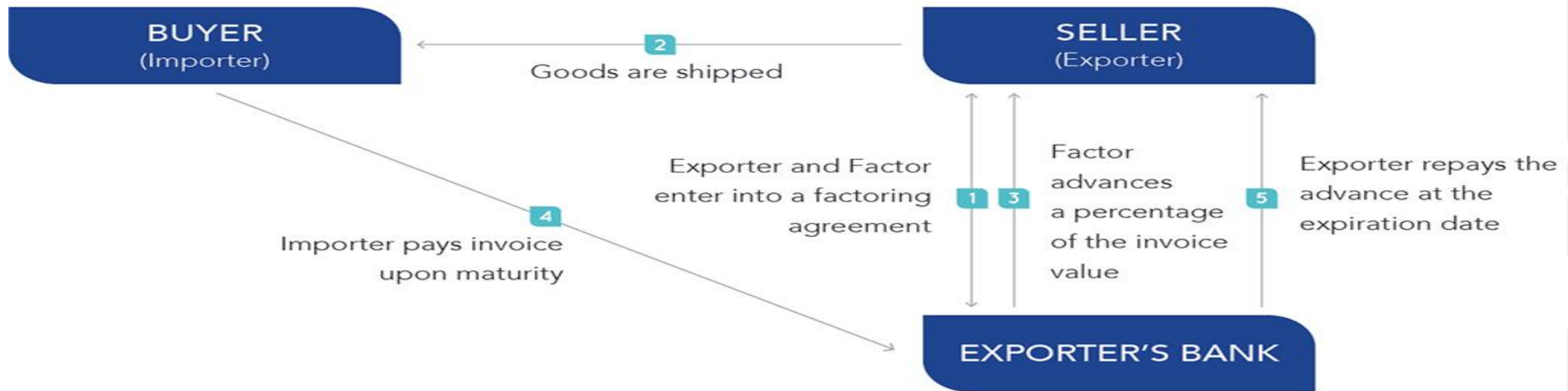
3.4. Factoring

- **Selling account receivable** (invoice) to a factoring company (bank) at a discount price.
- The factoring company (bank) pays a percentage of invoice upfront.
- **The factoring company** (e.g., bank) assumes **responsibility** of **collecting** a full amount of money.
- After the bank collects money, the bank pays the difference minus agreed upon fee to the business firm.

3.4. Factoring

Factoring

- A firm **sells A/R** before maturity
- Factors **buy A/R** before maturity at a discount price



4. Long-term Loan



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

4. Long-term Loan

- Loan with a repayment term of **longer than one year**.
- Use to finance **fixed assets or high-value assets** (i.e., plant, factory, machine, car, truck, building etc.)
- It may require the company's assets as collateral.
- Interest can be fixed, variable, or mixed rate.
- **Require monthly (or quarterly) payment.**
- Lower interest rate than short-term loan.

4 Major Differences Between Short-Term and Long-Term Loans

Amount

It is the primary differentiating factor, as the higher the loan amount, the longer the loan tenure will be.

Rate of interest

Short-term loans usually have a high-interest rate to compensate for the shorter repayment period. On the other hand, long-term business loans usually come with lower interest rates due to their long tenure.

Duration

Short-term business loans are usually given with an agreed-upon repayment tenure of 1 to 5 years. At the same time, the loan tenure for long-term loans may range from 10 to 20 years.

Procedure

Short-term loans offer quick liquidity and help in critical financial conditions with an instant approval process. While long-term loans are approved with all the eligibility criteria.



Visit Our Website
www.fsbtc.com

FIRST STATE
BANK AND TRUST

<https://www.loanry.com/blog/guide-different-types-business-loans/short-term-loan-vs-long-term-loan/>

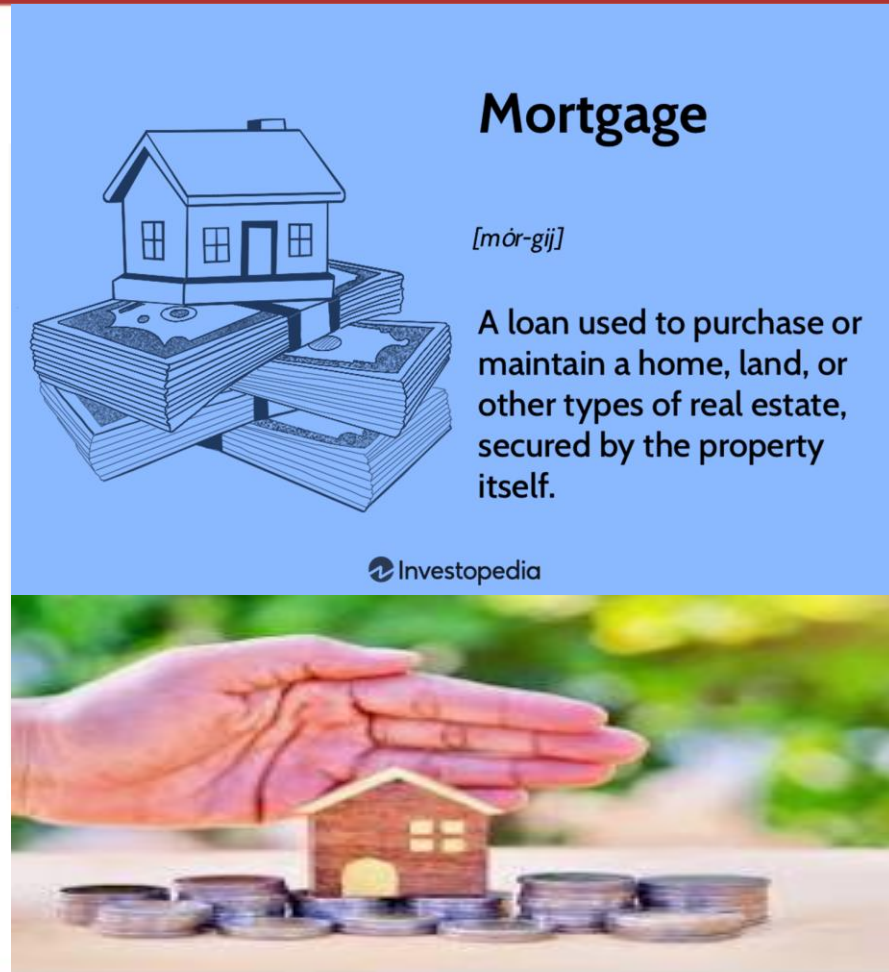


MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Example of Long-term Loan: Mortgage Loan

Mortgage Loan

- Long-term loan that used to purchase real property (i.e., buildings, houses, condominium, etc.).
- **Secured loan** (use real property as a collateral)
- Collateral is something used to guarantee payment (i.e., house or real estate)
- Bank provides money and pays for the purchase first.
Buyer of the house has an **obligation to payback principal and interest periodically** (i.e., pay back every month)



5. Other Bank Services



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

5.1. Bank Guarantee (BG)

- Document **issued by financial Institution (bank)** to guarantee that a borrower will be able to repay a debt to another party.
- Usually, A firm must present BG to sellers or suppliers of material in order to request for a **trade credit** from suppliers.
- It serves to **reduce risk** for the sellers or suppliers of a company.

Why we need the bank guarantee ?

In the international trade and financial transaction



Bank Guarantee

['bʌŋk ,ger-ən-'tē]

A type of financial backstop offered by a lending institution that means that the lender will ensure that the liabilities of a debtor will be met.

Investopedia

<https://www.investopedia.com/terms/b/bankguarantee.asp>



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Interest Rate



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

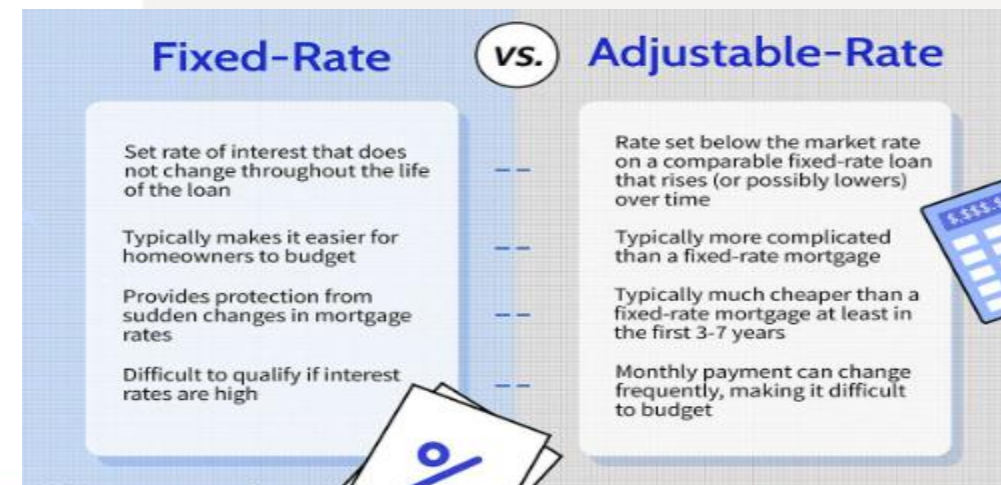
Interest Rate

- Interest rate is the return to the lenders.
- The lenders charge the borrowers on the principal amount borrowed.
- Interest rate is quoted as a percentage per year.
- **1. Fixed Interest Rate** – The interest rate remains constant throughout the loan period, irrespective of any change in the market condition
- **2. Floating Interest rate** – The interest rate that can increase or decrease depending on the market fluctuation

2.1. MLR

2.2. MRR

2.3. MOR



<https://economictimes.indiatimes.com/interstitial.cms>

<https://efinancemanagement.com/sources-of-finance/floating-interest-rate>

<https://www.investopedia.com/mortgage/mortgage-rates/fixed-versus-adjustable-rate/>



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Interest Rate

1. **Minimum Loan Rate (MLR)** – Interest rate for prime, **large, and good credit** business customers.
2. **Minimum Retail Rate (MRR)** – Interest rate for **retail** customer
3. **Minimum Overdraft Rate (MOR)** – Interest rate charged for **overdraft loan** (OD)

MLR MOR และ MRR แตกต่างกันอย่างไร

MLR ย่อมาจาก Minimum Loan Rate คือ อัตราดอกเบี้ยที่ทำการเรียกเก็บจากลูกค้ารายใหญ่ที่มีเครดิตดี มีหลักทรัพย์ค้ำประกันหรือมีประวัติทางการเงินดี เป็นสินเชื่อที่มีระยะเวลาในการกู้ยืมระยะยาว (Term Loan)

MOR ย่อมาจาก Minimum Overdraft Rate คือ อัตราดอกเบี้ยที่ธนาคารทำการเรียกเก็บจากลูกค้ารายใหญ่รายน้ำดีที่มีการเบิกเงินเกินบัญชี

MRR ย่อมาจาก Minimum Retail Rate คือ อัตราดอกเบี้ยที่ธนาคารมีการเรียกเก็บจากลูกค้ารายย่อยชั้นดี อาทิ สินเชื่อส่วนบุคคล สินเชื่อที่อยู่อาศัยรวมไปถึงสินเชื่อบัตรเครดิต

Interest Rate

Siam Commercial Bank PCL
Table 2: Announcement on Lending Interest Rate^{1/} no. 4/2023
Effective 3 October 2023

Unit: % p.a.

a. Reference Rates

1. Minimum Loan Rate (MLR) **7.050**
2. Minimum Overdraft Rate (MOR) **7.575**
3. Minimum Retail Rate (MRR) or General Lending Rate (GLR) **7.300**
4. Money Market Rate (MMR) is quoted based on prevailing market conditions at the time of each quotation and on a case-by-case basis.

(Translation for Reference Purpose Only)

Bank of Ayudhya Public Company Limited

Re: Interest Rates for Loans^{1/}

Effective from 6 October 2023



Unit: percent per annum

a. Reference Interest Rate^{2/}

1. Term loans for corporate customers in good standing (Minimum Loan Rate)	MLR	7.280
2. Overdraft facilities for corporate customers in good standing (Minimum Overdraft)	MOR	7.575
3. Retail customers in good standing (Minimum Retail Rate)	MRR	7.400

Lending Rate/Year

Type	Rate
MLR (Minimum Loan Rate)	7.27%
MOR (Minimum Overdraft Rate)	7.59%
MRR (Minimum Retail Rate)	7.30%

ธนาคารกสิกรไทย
 开泰银行 KASIKORNBANK



October 2023



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

Factor Affecting Interest Rate

Macroeconomics Factors Affecting Interest Rate

1. The Central Bank Policy

- An increase in money supply results in lower interest rate.
- A decrease in money supply results in increase in interest rate.

2. Economic Variable

- Growth rate
- Inflation
- During **higher growth and inflation** period, interest rate tends to **increase**.



Loan Application

Information on loan application preparation

- **Employment details**
 - Company name, position, salary, years of employment
- **Account Details**
 - History records with financial institutions
- **Guarantors**
- **Collateral** (something used to guarantee for payment i.e., real estate or other financial assets)



Note: interest rate charged is largely dependent on the **historical credit record** of the borrower.



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY

The End



MSME BUSINESS SCHOOL
ASSUMPTION UNIVERSITY